

Submission ACCT1-PS1-SUB02

Question ACCT1-PS1-Q01

work / setup:

1. Dr Cash 466; Cr Service Revenue 466
2. Dr Supplies 465; Cr Accounts Payable 465

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Cash 466/Cr Revenue 466; Dr Supplies 465/Cr A/P 465; A=L+E remains balanced plus 1

Question ACCT1-PS1-Q02

work / setup:

1. Monthly revenue= $1044/12=87$
2. Dr Unearned Revenue 87; Cr Service Revenue 87

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Unearned Revenue 87; Cr Revenue 87; liability=957 plus 1

Question ACCT1-PS1-Q03

work / setup:

1. Assets = Liabilities + Equity
2. Equity= $1848-771=1077$

crossed-out arithmetic: [smudged]

FINAL (maybe): equity=\$1077; assets=liabilities+equity plus 1

Question ACCT1-PS1-Q04

work / setup:

1. Current ratio= $1765/1101=1.60$

crossed-out arithmetic: [smudged]

FINAL (maybe): current ratio=1.60; assets exceed liabilities if ratio>1 plus 1

Question ACCT1-PS1-Q05

work / setup:

1. Cash receipt before performance does not by itself create earned revenue.

crossed-out arithmetic: [smudged]

FINAL (maybe): record unearned revenue first; recognize revenue as performance occurs plus 1

Question ACCT1-PS1-Q06

work / setup:

1. Dr Cash 662; Cr Service Revenue 662
2. Dr Supplies 431; Cr Accounts Payable 431

crossed-out arithmetic: [smudged]

FINAL (maybe): Dr Cash 662/Cr Revenue 662; Dr Supplies 431/Cr A/P 431; A=L+E remains balanced plus 1